



MEMORANDUM

THE PHILIPPINE STOCK EXCHANGE, INC.

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|-------------------------------------|--|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Proposed Rule Amendments |

TO : MARKET PARTICIPANTS

SUBJECT : PROPOSED AMENDMENTS TO PSE RULES ON EXCHANGE TRADED FUNDS

DATE : June 16, 2026

The Exchange is inviting all interested parties to submit their comments on the proposed amendments to PSE Rules on Exchange Traded Funds, as discussed in the attached Consultation Paper.

Comments may be sent to the Office of the General Counsel at ogc_list@pse.com.ph until June 30, 2026.

(original signed)

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President and CEO

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The Philippine Stock Exchange, Inc.

Consultation Paper

PROPOSED AMENDMENTS TO PSE RULES ON EXCHANGE TRADED FUNDS

Disclaimer: This Consultation Paper is disseminated for the purpose of soliciting comments from the concerned stakeholders. The final version of the Rules may differ from the draft rules contained in this Consultation Paper.

I. Consultation Process

This Consultation Paper is circulated to give concerned stakeholders an opportunity to submit their comments, if any, on the proposed amendments to the PSE Rules on Exchange Traded Funds ("PSE ETF Rules").

Interested parties may submit their comments and requests for clarifications by e-mail to ogc_list@pse.com.ph until June 30, 2026.

II. Rationale for the Rule Review

To encourage a wider range of issuers, the Exchange is proposing significant amendments to the current ETF Listing Rules. These revisions aim to lower the barriers to entry for potential issuers while providing greater operational flexibility in fund management and corporate structuring.

The proposed amendments also align PSE's framework with the rules in other markets and SEC Memorandum Circular No. 14, s. 2026 ("SEC Rules on Umbrella Fund"), which permits the establishment of multi-portfolio investment companies with segregated sub-funds.

III. Proposed Amendments

The key amendments include the following:

1. **Umbrella Structure:** The current rules only contemplate single-fund listings while the proposed rules allow "Umbrella ETFs" where multiple portfolios or sub-funds with different investment objectives and strategies can be offered and listed under one ETF issuer, dispensing with the need to incorporate and list a separate entity for each sub-fund.
2. **Expanded List of ETF Issuers:** The proposed rules include Unit Investment Trust Funds (UITFs) and other collective investment schemes as eligible ETF issuers, moving beyond just open-end investment companies. Thus, under the proposed rules, the Exchange will accept the listing of different types of securities such as fund units, in addition to shares of an ETF Company.
3. **Active Management:** The proposed rules explicitly allow actively-managed ETFs in addition to traditional passive index-tracking funds.
4. **Reduced Capitalization:** The minimum paid-up capital requirement for ETF issuers is lowered from Php250 million to Php50 million.

5. **Simplified Participation:** The proposed rules likewise reduce the required number of Authorized Participants (*i.e.*, broker dealers that handle the creation and redemption of ETF shares or units) to just one (1) Authorized Participant and remove the requirement for one of the Authorized Participants to be the Market Maker.
6. **Global Diversification:** Lastly, the proposed rules allow ETFs to track underlying securities listed in foreign exchanges or regulated OTC markets.

Stakeholders are invited to review the full proposal in Annex “A” and submit comments by the designated deadline.



RULES ON EXCHANGE TRADED FUNDS

PART A - General Provisions

Section 1. **Scope**

Section 2. **Introduction**

Section 3. Supplemental Rules

Section 4. ETF Participants

PART B - Listing and Disclosure

Section 5. Listing of ETF Securities

Section 6. Inapplicable Provisions

Section 7. General Criteria for Admission to Listing

Section 8. Continuing Listing Requirements

Section 9. Trading Halts and Suspensions

Section 10. Delisting of an ETF

Section 11. Penalties and Fines

Section 12. Fees

Section 13. Compliance with Laws Governing Investments

PART A GENERAL PROVISIONS

Section 1. Scope - These Rules on Exchange Traded Funds ("Rules") are established to govern the listing and trading of Exchange Traded Funds ("ETF") in the Philippine Stock Exchange.

Section 2. Introduction - An Exchange Traded Fund or ETF is a collective investment scheme listed in an Exchange that continuously issues and redeems units of participation or shares of stock in Creation Unit in exchange for delivery of a basket of securities or assets representing an index whose performance the ETF endeavors to track or outperform; provided that, the terms and conditions relative to the issuance and redemption in creation unit shall be prescribed and disclosed in its Registration Statement.

An ETF duly approved by the Commission to operate as a multi-portfolio investment company or umbrella ETF may apply for the listing of shares, units, or securities issued by the ETF with respect to one or more Portfolios, subject to these Rules, the SEC ETF Rules, and such requirements as the Exchange may prescribe. For purposes of these Rules, unless the context otherwise requires, references to "ETF shares or units" shall include shares, units, or securities issued by the ETF with respect to a specific Portfolio.

A "Portfolio" refers to a distinct sub-fund established within a multi-portfolio ETF or umbrella ETF approved by the Commission, with its own investment objective, benchmark, investment policy, assets, liabilities, financial records, NAV, NAVps or NAVpu, basket of securities or assets, creation and redemption arrangements, and listed securities.

A "Multi-Portfolio ETF" or "Umbrella ETF" refers to an ETF approved by the Commission to establish two or more distinct Portfolios within a single corporate entity, each of which may have a distinct series of shares, units, or securities issued by the ETF and listed and traded on the Exchange in accordance with these Rules.

Section 3. Supplemental Rules - These Rules shall be read in conjunction with the SEC ETF Rules, the Securities Regulation Code and its implementing rules and regulations, the Investment Company Act and other relevant laws, rules and regulations, as amended, all of which shall form part of these Rules. All rules of the Exchange not inconsistent with these Rules shall apply to ETFs.

Section 4. ETF Participants - An ETF shall appoint the following ETF Participants:

- a. **Fund Manager** - In addition to the requirements under Section 15 of the SEC ETF Rules, the Fund Manager must likewise have been in operation for at least two (2) years and have proven experience in managing funds.

An ETF must seek the approval of ETF shareholders or unitholders representing at least a majority of the ETF's outstanding capital stock or units of participation for any change of the Fund Manager.

- b. **Authorized Participant** - Registered broker-dealers and active trading participants of the Exchange who meet the following requirements can participate in the creation and redemption of shares or units of any ETF listed in the Exchange:

- a) Those enumerated in Subsections 16.2, 16.3 and 16.4 of the SEC ETF Rules;
- b) Paid-up capital of at least One Hundred Million Pesos (Php100,000,000.00);
- c) Such other qualifications that the Commission and the Exchange may impose or require from time to time.

An ETF shall ensure that it has at least one (1) functioning Authorized Participant at all times.

- c. **Market Maker** - An ETF shall appoint at least one Market Maker. The Market Maker may, but need not, be an Authorized Participant; provided, that only an Authorized Participant may submit creation and redemption instructions to the ETF.

The Market Maker shall be subject to the Exchange's Market Making Rules and any applicable rules and regulations that the Commission and/or the Exchange may issue from time to time.

In the event that an ETF has only one (1) functioning Authorized Participant, such Authorized Participant shall, by operation of these Rules, be deemed designated as the ETF's Market Maker, subject to compliance with the requirements relating to notice of any change in Market Maker, the qualifications applicable to Market Makers, and such other provisions as may be prescribed under these Rules and any applicable rules, regulations, or issuances that may be adopted by the Commission or the Exchange from time to time.

- d. **Custodian** - An ETF's custodian must comply with the minimum requirements for the appointment of a Custodian under Section 17 of the SEC ETF Rules.
- e. **Transfer Agent** - In addition to the minimum requirements under Section 18 of the SEC ETF Rules, a Transfer Agent must have a paid-up capital of at least One Hundred Million Pesos (Php 100,000,000.00).
- f. **Auditor** - The ETF shall engage an independent auditing firm duly accredited by the Commission and acceptable to the Exchange to perform an independent audit of the ETF's financial records.
- g. **Index Provider** - The ETF must engage an independent Index Provider which is compliant with the requirements set forth in Section 14 of the SEC ETF Rules.



PART B LISTING AND DISCLOSURE

Section 5. Listing of ETF Securities - The shares, units, or securities issued by an ETF shall be listed on the Exchange's **Main** Board.

For purposes of listing on the Exchange, only the shares, units, or securities issued by the ETF shall be listed and traded. The listing of such shares, units, or securities shall not be construed as the listing of the ETF itself, nor shall it confer upon the ETF the status of a listed corporation or trust under the Exchange's Listing Rules. The ETF shall, however, comply with the continuing listing, disclosure, and other obligations expressly applicable to ETFs under these Rules.

In the case of a Multi-Portfolio ETF, each series of shares, units, or securities issued by the ETF with respect to a Portfolio approved for listing will likewise be listed and traded on the Main Board as a separate listed security and under its own ticker symbol, subject to such naming, trading, disclosure, and operational requirements as the Exchange may prescribe. The initial listing requirements under the Listing Rules are applicable to ETFs, unless otherwise provided herein or inconsistent with these Rules.

Section 6. Inapplicable Provisions - For the avoidance of doubt, the following provisions of the Consolidated Listing Rules and Disclosure Rules, as amended, shall not be applicable to listing of ETF's shares, units, or securities:

- a. Methods of Initial Listing;¹
- b. Requirements for **Main** Board Listing;²
- c. Requirements for Small, Medium, and **Emerging** Board Listing;³
- d. Rules on Listing by Way of Introduction;⁴
- e. Listing of Debt Securities;⁵
- f. Rules on Additional Listing of Securities;⁶ and
- g. Fees for initial and additional listing of equity securities,⁷ substitutional listing,⁸ and listing of debt securities.⁹
- h. **The Rule on Minimum Public Ownership. In particular, ETFs shall not be required to maintain a minimum public ownership.**

¹ Currently, Article III, Part C of the Listing Rules.

² Currently, Article III, Part D of the Listing Rules.

³ Currently, Article III, Part F of the Listing Rules.

⁴ Currently, Article III, Part H, as amended of the Listing Rules.

⁵ Currently, Article IV of the Listing Rules.

⁶ Currently, Article V of the Listing Rules.

⁷ Currently, Article VI, Parts B and C of the Listing Rules.

⁸ Currently, Article VI, Part D of the Listing Rules.

⁹ Currently, Article VI, Part E of the Listing Rules.

Section 7. General Criteria for Admission to Listing

- a. **Minimum Paid-up capital** - An ETF applying to list its shares, units, or securities, on the Exchange shall have a paid-up capital of at least **Fifty Million Pesos (Php 50,000,000.00)**.
- b. **Offering Requirement** - When the registration of the ETF's securities becomes effective and its listing application is approved by the Exchange, the ETF may, at its option, undertake an offering for its securities. Such offering will not be covered by the Rules on Distribution of **Initial Public Offering (IPO) Shares through the Exchange** under Article III, Part **F** of the Exchange's Listing Rules, including the provisions pertaining to the twenty percent (20%) mandatory allocation for Trading Participants and the ten percent (10%) mandatory allocation for Local Small Investors.

In the event that an ETF undertakes an offering of its securities, provisions of the Consolidated Listing and Disclosure Rules pertaining to a public offering, including but not limited to engagement of issue manager and/or underwriter, determination of offer price, submission of prospectus and other offering documents, and distribution of offer shares, shall be applicable.

- c. **Shelf listing** - The ETF may apply for listing the equivalent number of shares or units subject of the Registration Statement. **In the case of a Multi-Portfolio ETF, the listing application shall identify the number and series of shares, units, or securities attributable to each Portfolio proposed to be listed.** The Exchange's approval of the listing of the ETF shares or units shall remain valid provided that the Registration and Licensing Order as well as the Permit to Sell Securities for Sale issued by the Commission covering the subject ETF shares or units are likewise valid and subsisting. The eligibility for trading of the ETF shares or units shall take effect only upon the Exchange's receipt of an official notice issued by an authorized officer of the ETF and confirmed in writing by the Custodian and Transfer Agent, that such number of ETF shares or units has been created and issued to or through the Authorized Participant. For a Multi-Portfolio ETF, such notice and confirmation shall specify the Portfolio to which the issuance relates.

Should there be ETF shares or units which shall remain unissued upon the lapse of the shelf **listing** period, the said ETF shares shall automatically be removed from the Exchange's registry and may only be re-listed with the Exchange upon the submission by the ETF of the following:

- a) Copies of the documents submitted by the ETF to the Commission under Section 7.3(B)(1) of the SEC ETF Rules
- d. **Underlying securities or assets** - The underlying securities or assets comprising the index which the applicant ETF intends to track or benchmark must be listed and traded in a registered exchange or in a regulated over-the counter ("OTC") market and have sufficient liquidity. In the case of a Multi-Portfolio ETF, this requirement shall be applied separately to each Portfolio and to the index or benchmark applicable to such Portfolio The

ETF shall disclose the liquidity criteria and methodology in its Prospectus or, in the case of a Multi-Portfolio ETF, in the Prospectus, Product Highlight Sheet, or supplemental disclosure applicable to each Portfolio. **The components of the underlying index shall meet at least one of the following qualifications:**

- a. **Listed for trading on the PSE; or**
- b. **Listed and traded on a registered foreign securities exchange which is a member of the World Federation of Exchanges or over-the-counter market regulated by a competent authority in its home jurisdiction.**
- e. **Procedure for processing of listing applications** - An application for listing shall only be accepted upon submission of the documentary requirements for listing of an ETF and payment of the applicable **filing** fee. The general procedures for the listing of equity securities as contained in Article III Part B of the **Consolidated Listing and Disclosure Rules** and any subsequent amendment and policies relevant thereto shall be adopted in processing listing applications for ETFs in accordance with the Exchange's initial listing rules.
- f. **Contents of Listing Application** - In addition to all minimum requirements set forth in the SEC ETF Rules (including, but not limited to, Sections 7, ~~7-A~~, 11, 12, 13 and 19 thereof), the listing application of an ETF must contain the following information:
 - a) Complete information regarding the Fund Manager, Authorized Participant, Market Maker, Custodian, Auditor, Index Provider and Transfer Agent of the ETF;
 - b) The financial track record of the Fund Manager and when applicable, the persons or parties engaged by the Fund Manager to carry out activities necessary for the operation of the ETF pursuant to Subsection 15.5 of the SEC ETF Rules. The required information shall include, among others, their related engagement history and work experience and details of all funds and ETFs managed or advised by them;
 - c) **In the case of a Multi-Portfolio ETF, the name, ticker symbol, investment objective, benchmark or underlying index, investment policy, creation unit size, basket of securities or assets, Authorized Participant, Market Maker, Custodian arrangements, Transfer Agent arrangements, and other operational arrangements applicable to each Portfolio in respect of which a series of shares, units, or securities is proposed to be listed;**
 - d) **A description of the manner by which the assets, liabilities, books, records, NAV, NAVps or NAVpu, iNAV, creation and redemption process, and expenses of each Portfolio shall be segregated, computed, recorded, and disclosed;**



- e) A statement that the assets of each Portfolio shall belong exclusively to that Portfolio and shall not be used to discharge the liabilities of any other Portfolio, subject to applicable law and the terms approved by the Commission; and
- f) Any other information or document that may be required by the Exchange in connection with its evaluation of an ETF's listing application.
- g. **Prospectus, Press Releases and Other Similar Documents** - In addition to the requirements under Sections 19 and 20 of the SEC ETF Rules, all prospectuses, primers, subscription agreement forms, newspaper prints, advertisements, press releases and similar documents in connection with the issuance shall first be submitted to the Exchange for review and disclosure purposes and may not be printed *en masse*, distributed or published without the prior written approval of the Exchange.
- h. **Suitability Rule** - An ETF shall be in compliance with the Suitability Rule as contained in Article 1 Part B of the Consolidated Listing and Disclosure Rules.
- i. **Multi-Portfolio ETFs** - A Multi-Portfolio ETF may apply for the listing on the Exchange of one or more series of shares, units, or securities issued by the ETF with respect to one or more Portfolios, subject to the prior approval of the Commission and compliance with these Rules.

Each such series of shares, units, or securities shall be treated as a separate listed security for purposes of trading, ticker symbol assignment, market making, iNAV disclosure, NAV/NAVps/NAVpu reporting, creation and redemption reporting, trading halt, suspension, delisting, and such other requirements as the Exchange may prescribe. For the avoidance of doubt, the ETF, and not the Portfolio, shall be the issuer of the shares, units, or securities relating to each Portfolio; provided, that such shares, units, or securities shall be issued, listed, traded, created, redeemed, and reported only with reference to the specific Portfolio to which they relate.

The ETF shall ensure that each Portfolio maintains separate and segregated assets, liabilities, books, records, NAV, NAVps or NAVpu, basket of securities or assets, and creation and redemption arrangements.

Unless otherwise approved by the Commission and the Exchange, cross-subscription, cross-redemption, or conversion of shares, units, or securities between or among Portfolios shall not be allowed.



Section 8. Continuing Listing Requirements

- a. Without in any way limiting the applicability of the rules governing the continuing listing of securities already in effect and all the rules and regulations set forth by the Exchange, the following shall be observed at all times:
 - a) The ETF shall maintain all applicable regulatory licenses and accreditation;
 - b) The ETF must ensure that all necessary facilities and information are available to enable holders of its listed shares or units to exercise their rights.
- b. The ETF must have an Investor Relations Office which manages the investor relations program of the ETF. The said program must ensure that information affecting the issuer, the ETF, and each Portfolio, as applicable, are communicated effectively to investors. This program shall include, at the minimum, a corporate website that contains, among others, information about the issuer, the ETF, and each Portfolio, such as but not limited to the following:
 - a) Company information – controlling stockholders, board of directors and management team
 - b) Company News – analyst briefing report, latest news, press releases, newsletter (if any)
 - c) Financial report – annual and quarterly report for the past 10 years or the period applicable to the ETF
 - d) Disclosures – recent disclosures to PSE and SEC for the past 10 years or the period applicable to the ETF
 - e) Investor FAQs – commonly asked questions of investors
 - f) Investor Contacts – email for feedback/comments, investor assistance and service
 - g) Security Information – key figures, dividends, security information
 - h) In the case of a Multi-Portfolio ETF, the ETF's website shall clearly identify each Portfolio and disclose, on a per Portfolio basis, the Portfolio's ticker symbol, investment objective, underlying index or benchmark, basket of securities or assets, NAV, NAVps or NAVpu, iNAV, issued and outstanding shares, units, or securities issued with respect to the Portfolio, premium/discount information, creation and redemption arrangements, Authorized Participants, Market Maker, and such other information required under the SEC ETF Rules and these Rules.



- c. Periodic Reporting, Disclosure Policy, and Other Requirements – The general structured and unstructured reportorial requirements shall apply to ETFs under the Disclosure Rules of the Exchange, in addition to the reportorial requirements under Section 27 of the SEC ETF Rules.

In addition, the ETF must likewise comply with the following:

a. Periodic Reports

- a) The ETF must disclose the iNAV every one (1) minute or such other frequency as may be prescribed by the Commission or the Exchange in its rules approved by the Commission. **In the case of a Multi-Portfolio ETF, the iNAV shall be computed and disclosed separately for each Portfolio.**

The iNAV, as defined in the SEC ETF Rules, is an approximation of the current value of the basket of securities on a per share **or unit** basis computed at a one (1) minute interval throughout the trading hours of the Exchange. **For a Multi-Portfolio ETF, the iNAV shall refer to the current value of the basket of securities or assets attributable to the relevant Portfolio on a per share or per unit basis.**

The iNAV calculation may be provided by the ETF or the ETF Fund Manager or a third party.

- b) An ETF must announce **prior to the pre-open period of the** ~~of every next~~ trading day, or on a frequency that the Exchange may from time to time prescribe, via the **Exchange's Electronic Disclosure Generation ("EDGE") System (or any equivalent or replacement system)** the following information **for the ETF and, in the case of a Multi-Portfolio ETF, separately for each Portfolio:**

- (1) Net Asset Value (NAV) and NAV per share;
- (2) Issued and outstanding shares of the ETF;
- (3) Underlying **or benchmark** index, **as applicable**; and
- (4) Tracking Error as defined under Section 5 (21) of the SEC ETF Rules.

- b. Annual Report – In addition to the requirements under the Securities Regulation Code and the SEC ETF Rules, an ETF must submit an annual report which shall disclose the following information within one hundred five (105) days after the end of the fiscal year, or such other time as the Commission, by rule, shall prescribe. **In the case of a Multi-Portfolio ETF, the annual report shall present the following information separately for each Portfolio, where applicable, together with such**

consolidated information for the ETF as may be required by the Commission or the Exchange:

- a) A list of all investments with a value greater than 5% of the ETF's gross assets, and at least the 10 largest investments stating their:
 - (1) applicable comparative periodic figures, if any;
 - (2) brief description of the business;
 - (3) proportion of share capital owned;
 - (4) cost;
 - (5) valuation of other assets and investments, and in the case of listed investments, market value;
 - (6) dividends received during the year (indicating any interim dividends);
 - (7) dividend payout ratio;
 - (8) extraordinary items, if any; and
 - (9) net assets attributable to investments.
- b) An analysis of any provision for diminution in the value of investments, stating for each such investment:
 - (1) cost;
 - (2) book value; and
 - (3) provision made.
- c) Breakdown of the income received:
 - (1) dividends and interest; and
 - (2) other income, if any.
- d) An analysis of realized and unrealized gain/loss on investment(s)
- e) The name of the Fund Manager together with an indication of the terms and duration of its appointment and the basis for its remuneration;



f) The Securities Lending activities of the ETF

The ETF as a direct lender shall include the latest two (2) bi-annual Summary Reports of its Securities Borrowing and Lending (SBL) transactions submitted to the Commission.

g) Amount of related-party transactions for the period under review;

The term “related parties” shall refer to “affiliates of the ETF, the Fund Manager, the Custodian, the Transfer Agent, or the Index Provider, accounted for by the equity method of accounting; trusts for the benefit of employees such as pension and profit sharing plans that are managed by or under the trusteeship of the management of the ETF; directors, major shareholders or principal owners of the ETF, the Fund Manager, the Custodian, the Transfer Agent, or the Index Provider; and their management; members of the immediate families of major shareholders, principal owners and management of the ETF and the ETF Fund Manager.”

h) The performance of the ETF or Portfolio in comparison to its underlying index, in a consistent format, covering the following periods of time: 3-month, 6-month, 1-year, 3-year, 5-year, 10-year and since inception of the ETF.

i) Expense ratios for the period under review and for the immediately preceding year, computed separately for each Portfolio, where applicable. It should be indicated that the expense ratio does not include brokerage and other transaction costs, performance fee, foreign exchange gains/losses, and tax deducted at source or arising out of income received front or back end loads arising from the purchase or sale of other investments; and

j) Turnover ratios for the period under review and for the immediately preceding year, computed separately for each Portfolio, where applicable.

c. Quarterly Reports – In addition to the requirements under the Securities Regulation Code and the SEC ETF Rules, particularly Subsection 27.2, an ETF must submit Quarterly Reports which must disclose the following information within forty-five (45) days from the end of each quarter. In the case of a Multi-Portfolio ETF, the Quarterly Reports shall present the following information separately for each listed Portfolio, where applicable:

a) Top 10 holdings at market value and as a percentage of NAV as at the end of the period under review and for the immediately preceding year;

b) Expense ratios for the period under review and for the immediately preceding year. It should be indicated that the expense ratio does not include brokerage and other transaction costs, performance fee, foreign exchange gains/losses, and

tax deducted at source or arising out of income received front or back end loads arising from the purchase or sale of other investments; and

- c) Turnover ratios for the period under review and for the immediately preceding year.
- d. Monthly Issuance and Redemption Report of ETF Creation Units to be submitted not later than five (5) trading days from the last day of the preceding month, **which report shall identify the number of Creation Units created and redeemed, the resulting issued and outstanding shares, units, or Portfolio securities, and, in the case of a Multi-Portfolio ETF, the specific Portfolio to which each creation or redemption relates;**
- e. If the ETF is also listed on another stock exchange, the ETF shall make an arrangement for simultaneous disclosure of any material information required to be filed or disclosed to the Exchange and to another stock exchange. The disclosure to the Exchange shall be in English.
- f. The ETF must also comply with the following reportorial requirements:
 - a) The ETF must notify the Exchange at the end of each dividend distribution period the following as soon as they are computed by the Fund Manager **for the ETF and, in the case of a Multi-Portfolio ETF, for each Portfolio declaring a dividend distribution:**
 - (1) The net amount per share;
 - (2) The date of the recording of the list of shareholders; and
 - b) The Fund Manager must state clearly, in all disclosures issued in respect of the sale of shares of the ETF, the terms upon which it undertakes to repurchase ETF shares. If there is no undertaking, it must state that fact; and
 - c) The ETF must notify the Exchange of the following within ten (10) minutes from their occurrence, **specifying the affected Portfolio, where applicable:**
 - (1) Any creation and redemption and the resulting issued and outstanding ETF shares **or units;**
 - (2) Breach of tracking error threshold by the ETF or any Portfolio;
 - (3) Failure and/or inability to disclose the iNAV at the prescribed frequency;
 - (4) Any changes in the control of the Fund Manager;



- (5) Any proposed change in the general character, nature or investment objective of the ETF or any Portfolio and/or fund management;
- (6) Any resolution or decision to renew, vary or terminate the management agreement;
- (7) The fact of inability of the Market Maker to perform its functions or the absence of the Market Maker and the reasons therefor;
- (8) The name and qualifications of the Authorized Participant and Market Maker;
- (9) The decision to terminate the ETF's agreement with any of the following participants and the reasons therefor:
 - (a) Market Maker;
 - (b) Authorized Participant;
 - (c) Fund Manager;
 - (d) Custodian;
 - (e) Index Provider; and
 - (f) Transfer Agent.

Provided, however, that within thirty (30) days prior to the effectivity of the termination, the ETF must notify the Exchange in writing of the fact of termination.

Further, the ETF must engage a new Market Maker/Authorized Participant/ Fund Manager/Custodian/Index Provider or Transfer Agent no later than ten (10) trading days prior to the effectivity date of the termination of services of the previous Market Maker/Authorized Participant/Fund Manager/Custodian/ Index Provider or Transfer Agent. Notice to the Exchange that the ETF has engaged a new Market Maker/Authorized Participant/Fund Manager/ Custodian/Index Provider or Transfer Agent must be filed within the same period.

Upon failure to engage the replacement within the prescribed period, the Exchange shall suspend trading of securities of the ETF which shall be lifted upon receipt of notice of the engagement of a new Market Maker/Authorized Participant/Fund Manager/Custodian/Index Provider or Transfer Agent.

- (10) Detailed information including the qualifications of the new Authorized Participant(s) which will assume the functions and obligations of the ETF's Authorized Participants;



- (11) Any trading halt or suspension imposed by another exchange on the ETF shares or units and the reasons therefor, if the ETF is simultaneously listed in another stock exchange;
 - (12) Any trading halt or suspension of the underlying securities or assets and subsequent lifting thereof, including the percentage of the said underlying securities or assets in relation to the applicable current index value and, in the case of underlying securities listed in another exchange, the reason for the halt or suspension;
 - (13) Any material facts related to the listed ETF or any Portfolio, or the operation, business or assets of the ETF or any Portfolio, which may significantly affect the investment decisions of investors.
 - (14) Any event that may materially affect the segregation of assets, liabilities, books, records, NAV, NAVps or NAVpu, iNAV, creation and redemption process, or rights of holders of Portfolio Securities of any Portfolio.
- d) Other reports and records as may be required by the Commission or the Exchange from time to time.

Section 9. Trading Halts and Suspensions

For a Multi-Portfolio ETF, trading halts and suspensions may be imposed on the listed security issued with respect to the affected Portfolio only, unless the Exchange determines that the event affects the ETF as a whole or two or more Portfolios in a manner that requires a broader halt or suspension for the protection of investors and the maintenance of a fair and orderly market.

- a. Trading of the ETF shares shall be suspended under the following circumstances:
 - a) If the underlying securities or assets accounting for 20% or more of the applicable Portfolio NAV or current index value, as applicable, have been suspended;
 - b) Absence of a Market Maker for a period of one (1) month;
 - c) When the Commission issues an order of suspension or revocation of the registration of the ETF shares or units; or
 - d) Other applicable grounds provided under the Consolidated Listing and Disclosure Rules and Revised Trading Rules of the Exchange.



- b. Trading of the ETF shares shall be halted for an hour, or for any appropriate period as may be deemed necessary by the Exchange, on the first day of occurrence of the following circumstances:
 - a) Breach of tracking error threshold;
 - b) Any of the underlying securities has been delisted;
 - c) Trading has been halted for one or more underlying securities accounting for 20% or more of the applicable Portfolio NAV or current index value, as applicable;
 - d) If the iNAV is not timely published within the frequency prescribed in these Rules; or
 - e) Other applicable grounds provided under the Consolidated Listing and Disclosure Rules and Revised Trading Rules of the Exchange.
- a. In the case of ETF shares simultaneously listed in another exchange, the Exchange may halt or suspend the trading of the ETF shares if the trading thereof is halted or suspended in the other exchange.

Section 10. Delisting of an ETF

- a. In addition to the grounds for involuntary delisting under the Delisting Rules, the following shall be grounds for the involuntary delisting of the shares, units, or securities issued by an ETF, or the shares, units, or securities issued with respect to a specific Portfolio of a Multi-Portfolio ETF:
 - a) Failure by the ETF or any Portfolio to comply with its continuing listing obligations, including the failure to pay the applicable fees;
 - b) Continued breach of the tracking error threshold set by the ETF or Portfolio for a period of at least one year. Tracking error as defined in the SEC ETF Rules Section 5.21 is the standard deviation of the difference in relative returns between the ETF or Portfolio and its underlying index or benchmark;
 - c) Revocation of the registration of the ETF and/or its shares, units, Portfolio securities, or any Portfolio;
 - d) Such other grounds as may be determined by the Exchange, where delisting of the ETF or any Portfolio may be appropriate in the public interest or for the protection of investors.
- b. Tender Offer/Redemption Requirement – In all instances, an ETF that undergoes delisting, must purchase or redeem, either by itself, a stockholder, or through a proponent, more than ninety percent (90%) of the issued and outstanding shares of the ETF.

The required redemption may be made:

- a) By delivering the corresponding basket of securities to the concerned shareholder after the surrender of the ETF shares or units in accordance with Section 11.1 of the SEC ETF Rules; and/or
- b) In exchange for cash in accordance with Section 13 of the SEC ETF Rules.

The ETF shall demonstrate that following the redemption of the shares or units, the ETF, the stockholder or the proponent, has obtained more than ninety percent (90%) of the issued and outstanding shares or units of the ETF, or such level or percentage as may be prescribed by the Exchange.

The purchase or redemption price or valuation shall be duly supported by a fairness opinion prepared by an independent and reputable firm, and in accordance with the Guidelines for Fairness Opinions and Valuation Reports of the Exchange.

Section 11. Penalties and Fines

- a. In the absence of a Fund Manager, Custodian, Index Provider, Authorized Participant, Transfer Agent, the Exchange shall suspend the trading of securities of the ETF which shall be lifted upon receipt of notice of the engagement of a new Fund Manager, Custodian, Index Provider, Authorized Participant, or Transfer Agent.
- b. For any violation of these Rules not stated herein, the penalties under the PSE Disclosure Rules shall apply.

Section 12. Fees

An ETF shall be required to pay the following fees:

- a. **Filing** Fee - Upon filing of its listing application, the ETF shall pay a non-refundable **filing** fee of **One Hundred** Fifty Thousand Pesos (Php 150,000.00) plus other incidental expenses.
- b. Listing Fee - The ETF shall pay a flat rate of One Hundred Thousand Pesos (Php100,000.00).
- c. **Annual Listing Maintenance** Fee - The ETF shall pay, **on-or before January 15 of each year, with an allowable grace period of one (1) week**, an Annual Listing Maintenance Fee **determined in accordance with the following schedule:**

End of the Previous Year's Market Capitalization (MCAP) Per ETF	Annual Listing Maintenance Fee
Up to Php1 Billion	Php50,000.00
More than Php1 billion up to Php10 Billion	Php50,000.00 + 0.25 basis points in excess of Php1 billion of MCAP
More than Php10 billion	Php275,000 + 0.10 basis points of in excess of Php10 Billion of MCAP

The ETF shall be assessed a fine of One Thousand Pesos (Php 1,000.00) for every calendar day of delay. If the ETF fails to remit the maintenance fee by 15 February of that same year, the Exchange shall discontinue assessing the ETF the fine but it shall automatically suspend the ETF from trading for two (2) months or until 15 April. If the ETF still fails to pay the required fee after 15 April, the ETF shall be considered for delisting in accordance with the Delisting Rules of the Exchange.

Section 13. Compliance with Laws Governing Investments

The ETF must ensure compliance with the provisions of existing laws, rules and regulations and issuances including, but not limited to, the Anti-Money Laundering Act of the Philippines, the Investment Company Act, and any other applicable law or regulations.